

25SMCV00751 25SMCV00751

County: los-angeles

Division: Civil Law and Motion

Department: 205

Hearing date: 2026-08-21

Source URL: https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=BH%20%2C205%2C08%2F21%2F2026

Source SHA-256: dc6c3dd17c389da278dd47664f814594b5d5dba11a524300ec713fcb58a7a7f2

Case Number: 25SMCV00751 Hearing Date: August 21, 2026 Dept: 205

Superior Court of California

County of Los Angeles – West District

Beverly Hills Courthouse / Department 205

CHRISTOPHER BELTRAN, et al.,

Plaintiffs,

v.

GLOBAL INTEGRITY REALTY CORPORATION, et al.,

Defendants.

Case No.: 25SMCV00751

Hearing Date: August 21, 2026

[TENTATIVE] order RE:

dEFENDANT'S DEMURRER TO FIRST

AMENDED COMPLAINT

BACKGROUND

Plaintiffs Christopher Beltran, Wendy Flores, Anthony Avalos, Christine Walsh, and Joshua Cheatum ("Plaintiffs") were prospective tenants and residents at the Acacia Park Apartments located at 5280 North Little Mountain Drive, San Bernardino, California 92407. (FAC, ¶¶ 5-9.) Defendant Global Integrity Realty Corporation ("Defendant") manages the Acacia Park Apartments. (Id. at ¶ 10.) In 2023 and 2024, Plaintiffs applied for housing at the Acacia Park Apartments. (Id. at ¶ 16.) Defendant used a portion of each application fee to pay for investigative consumer reports about Plaintiffs. (Id. at ¶ 18.) Defendant did not provide a consent form or disclosure or a means by which Plaintiffs could indicate they wished to receive a copy. (Id. at ¶ 21.) Defendant did not want the tenants or prospective tenants to know about or have access to any confidential consumer reports about them. (Id. at ¶ 24.)

The operative First Amended Complaint ("FAC") alleges claims for (1) Violations of the Investigative Consumer Reporting Agencies Act ("ICRAA") – Cal. Civ. Code, §§ 1786, et seq.; (2) Negligence; (3) Violations of Unfair Competition Law ("UCL") – Cal. Bus. & Profs. Code,

§§ 17200, et seq.; (4) Violations of the Consumer Legal Remedies Act ("CLRA") – Cal. Civ. Code, §§ 1750, et seq.; (5) Invasion of Privacy; (6) False Advertisement; and (7) Fraud.

This hearing is on Defendant's demurrer. Defendant argues that Plaintiff's ICRAA claims are precluded by federal preemption. Additionally, as to the negligence claim, Defendant argues that Plaintiff has only pled damages in a conclusory fashion and in any event, Plaintiff could not conceivably have suffered injury by losing the opportunity to obtain a credit report. As to the UCL claim, Defendant argues that the UCL requires economic harm which Plaintiff cannot show because the \$30 application fee is a legally permissible fee payment. As to the CLRA claim, Defendant argues that CLRA only applies to the sale of goods and services, not to the rental of real property. Moreover, Plaintiff was required to give pre-suit notice which they failed to do. As to the invasion of privacy claim, Defendant argues that Plaintiff did not have a reasonable expectation of privacy because they consented to Defendant obtaining information about them. As to the false advertising claim, Defendant argues the claim fails because the alleged misrepresentations are not adequately plead and in any event were not made as part of an "extensive and long-term advertising campaign." As to the fraud claim, Defendant argues that Plaintiff has not adequately alleged their alleged misrepresentation or show a reasonable possibility that the misstatements would be material enough to induce a reasonable person in Plaintiffs' position to refuse to pay to complete a rental application and forego entering into a lease agreement.

LEGAL STANDARD

As a general matter, in a demurrer proceeding, the defects must be apparent on the face of the pleading or via proper judicial notice. (*Donabedian v. Mercury Ins. Co.* (2004) 116 Cal.App.4th 968, 994.) "A demurrer tests the pleading alone, and not the evidence or facts alleged." (*E-Fab, Inc. v. Accountants, Inc. Servs.* (2007) 153 Cal.App.4th 1308, 1315.) As such, the court assumes the truth of the complaint's properly pleaded or implied factual allegations. (*Ibid.*) The only issue a demurrer is concerned with is whether the complaint, as it stands, states a cause of action. (*Hahn v. Mirda* (2007) 147 Cal.App.4th 740, 747.)

"The party against whom a complaint or cross-complaint has been filed may object, by demurrer or answer as provided in section 430.30, to the pleading on any one or more of the following grounds... (e) the pleading does not state facts sufficient to constitute a cause of action. (f) The pleading is uncertain. As used in this subdivision, "uncertain" includes ambiguous and unintelligible." (Code Civ. Proc. [AW13.1]§ 430.10.) "[D]emurrers for uncertainty are disfavored, and are granted only if the pleading is so incomprehensible that a defendant cannot reasonably respond." (*A.J. Fistes Corp. v. GDL Best Contractors, Inc.* (2019) 38 Cal. App. 5th[AW14.1] 677, 695.)

Where a demurrer is sustained, leave to amend must be allowed where there is a reasonable possibility of successful amendment. (*Goodman v. Kennedy* (1976) 18 Cal.3d 335, 348.) The burden is on the plaintiff to show the court that a pleading can be amended successfully. (Id. [AW15.1]; *Lewis v. YouTube, LLC* (2015) 244 Cal.App.4th 118, 226.) However, "[i]f there is any reasonable possibility that the plaintiff can state a good cause of action, it is error to sustain a demurrer without leave to amend." (*Youngman v. Nevada Irrigation Dist.* (1969) 70 Cal.2d 240, 245).

MEET AND CONFER

Before filing a demurrer pursuant to this chapter, the demurring party shall meet and confer in person, by telephone, or by video conference with the party who filed the pleading that is subject to demurrer for the purpose of determining whether an agreement can be reached that would resolve the objections to be raised in the demurrer. (Code Civ. Proc., § 430.41, subd. (a).) “The demurring party shall file and serve with the demurrer a declaration stating either of the following: (A) The means by which the demurring party met and conferred with the party who filed the pleading subject to demurrer, and that the parties did not reach an agreement resolving the objections raised in the demurrer. (B) That the party who filed the pleading subject to demurrer failed to respond to the meet and confer request of the demurring party or otherwise failed to meet and confer in good faith.” (Code Civ. Proc., § 430.41, subd. (a)(3).) A determination by the court that the meet and confer process was insufficient shall not be grounds to overrule or sustain a demurrer. (Code Civ. Proc., § 430.41, subd. (a)(4).)

Here, counsel for Defendant attempted to meet and confer with Plaintiffs’ counsel prior to the filing of this Demurrer. (Taylor Decl., ¶ 4.) Defendant’s counsel sent Plaintiffs’ counsel an email to schedule a call. (Id. at ¶¶ 5-6.) Defendant received no response. (Id.) The Court exercises its discretion to review the Demurrer on its merits despite the parties failing to have met and conferred prior to the filing of this Demurrer.

DISCUSSION

ICRAA

Defendant argues that Plaintiffs’ claim under the ICRAA is preempted by Section 1681m(h) of the Fair Credit Reporting Act, which states that no notice is required to be given to a consumer whose application was granted on the terms applied for. According to Defendant, requiring strict compliance with the Checkbox and Notice Requirements of the ICRAA is inconsistent with Section 1681m(h) of the FCRA.

In opposition, Plaintiffs argue that the ICRAA is not based upon a credit or insurance transaction, therefore it cannot be the basis for any perceived inconsistency with the FCRA. Plaintiffs assert that Section 1681m(h) of the FCRA only applies to credit transactions and, thus, does not expressly preempt the notice and checkbox requirements of the ICRAA. The Court agrees with Defendant.

There are “three types of preemption under the supremacy clause: express preemption, conflict preemption, and field preemption.” (Kemp v. Superior Court (2022) 86 Cal.App.5th 981, 996.) “Express preemption arises when Congress ‘define[s] explicitly the extent to which its enactments pre-empt state law.’” (Id. at 997.) If there is an express preemption clause, then “statutory construction must in the first instance focus on the plain wording of the clause, which necessarily contains the best evidence of Congress’ preemptive intent.” (Id.)

Here, the FCRA—which was enacted in 1970 and has been amended several times since—sets forth certain requirements “concerning the creation and use of consumer reports.” (Spokeo, Inc. v. Robins (2016) 578 U.S. 330, 335.) The FCRA has always preempted State law, but the scope of that preemption has changed over time.

Since its inception, the FCRA has preempted State laws “to the extent that those laws are inconsistent with any provision of” the FCRA. But in 1996, Congress emphasized that FCRA standards were national by adding a provision that further preempted any State regulation related to specifically enumerated subjects already regulated by the FCRA. (Public Law 104-208, sec. 2419, 110 Stat. 3009.) This was “a strong preemption provision” that was meant to “to avoid a patchwork system of conflicting regulations.”² (Ross v. FDIC (4th Cir. 2010) 625 F.3d 808, 813.) This newly added subject matter preemption provision was originally designed to expire in 2004. But in 2003, Congress made it permanent, looking to preserve the FCRA’s “national standards” in order to promote economic growth. (Public Law 108-159, sec. 711, 117 Stat. 2011.)

The main preemption provision of the FCRA, 15 U.S.C. 1681t(b)(1), uses carefully crafted language to preempt several areas of state law that it intended to be governed solely by federal law. The lead paragraph states that “[n]o requirement or prohibition may be imposed under the laws of any State . . . with respect to any subject matter regulated under” each of the eleven subparagraphs. Each subparagraph then includes a provision of the FCRA followed by the phrase “relating to” and then a description of the subject matter of that provision. As relevant to this case, subparagraph (i) of section 1681t(b)(1) states no requirement or prohibition may be imposed under state law “relating to the duties of users of consumer reports to provide notice with respect to terms in certain credit transactions.” (Emphasis added.)

In crafting section 1681t(b)(1), Congress chose a series of broad and expansive phrases. To begin with, the phrase “[n]o requirement or prohibition” in the context of preemption “sweeps broadly” and applies to all State laws, whether enacted by a legislature or decreed by a common-law court. (*Cipollone v. Liggett Grp., Inc.* (1992) 505 U.S. 504, 521.) Next, a phrase like “with respect to” also “has a broadening effect, ensuring that the scope of a provision covers not only its subject but also matters relating to that subject.” (*Lamar v. Archer & Cofrin LLP v. Appling* (2018) 138 S. Ct. 1752, 1760 (interpreting “respecting”); see also *United States v. Tohono O’Odham Nation* (2011) 563 U.S. 307, 312 (“in respect to”).)

The word “any,” when “[r]ead naturally,” also has “an expansive meaning, that is, one or some indiscriminately of whatever kind.”² (*United States v. Gonzales* (1997) 510 U.S. 1, 5 (quoting Webster’s Third New International Dictionary 97 (1976).) A “subject matter” is generally defined as an “issue presented for consideration” or “the thing in dispute.”³ (*Black’s Law Dictionary* (12th ed. 2024).) Finally, “the phrase ‘relate to’ in a preemption clause express[es] a broad pre-emptive purpose,” and is typically used by Congress “to reach any subject that has a connection with, or reference to, the topics the statute enumerates.” (*Coventry Health Care of Missouri, Inc. v. Nevils* (2017) 581 U.S. 87, 96.)

Read together, these “deliberately expansive”⁴ terms can mean only one thing: Congress meant to occupy the field of consumer reporting and displace State laws within that field. By preempting laws respecting the “subject matter” of some of FCRA’s broadest provisions—and then defining that subject matter in broad terms through the “relating to” clause—Congress plainly meant to sweep away most state regulation in the area.

Legislative history “need not be consulted when, as here, the statutory text is unambiguous.” (*United States v. Woods* (2013) 571 U.S. 31, 46 n. 5.) But even the legislative history of section 1681t(b) confirms that Congress intended to broadly displace state laws on consumer reporting.

As noted above, when the FCRA was enacted in 1970, it preempted only conflicting State laws. Congress expanded FCRA preemption when it first enacted section 1681t(b) in 1996, reaching a wide swath of State laws that were more protective than the FCRA. When section 1681t(b) was first added to the FCRA in 1996, members of Congress made clear that the preemption clause was intended to usher in a national credit reporting system. As Representative Castle explained, the 1996 amendments to the FCRA “recognize[d] that the credit industry is now a complex, nationwide business” and established “a uniform, national standard for credit reporting.” (140 Cong. Rec. 25871 (Sept. 27, 1994).) The broad preemption under section 1681t(b) would “allow businesses to comply with one law on credit reports rather than a myriad of State laws,” thereby “benefit[ing] consumers and businesses.”⁵ (*Id.*) In other words, the preemption clause was specifically intended to avoid “a patchwork of State laws.”⁶ (140 Cong. Rec. 25867 (Sept. 27, 1994) (Rep. Thomas).)

While the 1996 amendment contained a sunset provision, in 2003, Congress decided to make permanent section 1681t(b) in order to “enhance the national credit reporting system.”⁷ (H.R. Rep. 108-396 (conference report).) As Representative Kanjorski noted, the 1996 amendments had “created a nationwide consumer credit system that works increasingly well,” by “expand[ing] access to credit, lower[ing] the price of credit, and accelerat[ing] decisions to grant credit.”⁸ (149 Cong. Rec. 21742 (Sept. 10, 2003).) The key to this nationwide credit system was “the establishment of the uniform system that preempts States from enacting miscellaneous and potentially conflicting requirements regarding credit reporting.” (*Id.*) Representative Oxley noted that “[t]he protection and growth of these services, as provided for in [the FCRA], are critical to the success of our economy.”⁹ (149 Cong. Rec. 30771 (Nov. 21, 2003).) Senator Shelby, one of the sponsors of the 2003 bill, argued that the legislation was “creating permanent national standards” for the “national credit reporting system,” which he also noted was important to “our financial markets and economy as a whole.” (149 Cong. Rec. 2680 (Nov. 4, 2003).)

Thus, as the conference report for the 2003 law noted, the amendments would “ensure the operational efficiency of our national credit system by creating a number of preemptive national standards.” (H.R. Rep. 108-396.) Congress recognized the “significant concern . . . that [these national standards] preclude states from adopting more robust consumer protections” but nonetheless concluded that “[n]ational credit markets are necessary to meet business and consumer demands and are very important to the efficient operation of the United States economy.” (S. Rep. 108-166.)

In summary, the legislative history of both the 1996 and 2003 amendments corroborates the plain text of section 1681t(b)(1). Congress clearly intended for that preemption clause to have a broad sweep.

Given the express language in section 1681t(b)(1) preempting state laws relating to the duties of users of consumer reports to provide notice with respect to terms in certain credit transactions, and the fact that the ICRAA provisions on which Plaintiffs sue relate to notice, the Court concludes that these sections of the ICRAA are preempted by section 1681t(b)(1) of the FCRA.

Plaintiff argues that there is no preemption because the FCRA applies only to credit or insurance transactions. The Court does not agree that FCRA should be construed so narrowly. The statute’s definition of “consumer report” was written broadly to include everything from information bearing on “credit standing” to information about “general reputation” and “personal characteristics.” If this data is sought to establish either eligibility for “credit or insurance . . . for personal, family, or household purposes,” “employment purposes,” or “other purposes authorized under section 1681b of this title,” FCRA applies. (*Cisneros v. U.D. Registry, Inc.* (1995) 39 Cal. App. 4th 548, 561.)

In *Cisneros*, the court noted that several federal courts have held or indicated that a report used to determine a consumer’s eligibility to rent housing is a transaction involving “credit” to be used for “household purposes” under subdivision (d)(1) of section 1681a. (*Id.*) In particular, *Cisneros* discussed the holding in *Cotto v. Jenney* (D.Mass. 1989) 721 F. Supp. 5, 6-7. There, the defendant “examines an individual’s financial background by reporting prior incidents of non-payment of rent, . . . late payments of rent, bounced checks and court proceedings and judgments.” (*Id.*) “It follows, therefore, that if [defendant] issues a report stating that a prospective tenant has fallen behind on its rent payments on a prior occasion--as apparently occurred in the present case--the landlord would certainly give pause before incurring a potential financial risk by allowing the would-be tenant to occupy the residence. It is in this sense that pursuant to the FCRA the report on [the tenant] relates to her ‘credit worthiness.’” (*Id.* at 6-7.)

In sum, Plaintiff’s argument that the FCRA does not apply to credit reports generated for housing application purposes is contrary to the holding in *Cisneros*. The Court, therefore, sustains the demurrer to the first cause of action without leave to amend.

Negligence

Plaintiffs’ negligence claim hinges on Defendant’s alleged breach of their duty of care to satisfy their obligations under the ICRAA. Given that the Court has concluded that ICRAA is preempted by the FCRA, Plaintiff’s negligence claim fails as a matter of law. The Court, therefore, sustains the demurrer to the negligence claim without leave to amend.

UCL

As with its negligence claim, Plaintiffs’ UCL claim depends on Defendant’s alleged violations of the ICRAA. For reasons set forth above, the ICRAA is preempted by the FCRA, and Plaintiff’s UCL claim therefore fails as a matter of law. The Court sustains the demurrer to the UCL claim without leave to amend.

CLRA

Defendant argues that Plaintiffs have failed to allege notice, as required by the CLRA, in the FAC. In opposition, Plaintiff argues that for an action for injunctive relief under the CLRA, Plaintiff need not comply with the 30-day notice requirement.

The Consumer Legal Remedies Act applies to transactions in goods or services. (Civ. Code, §§ 1761, 1770.) A plaintiff who seeks damages must, at least 30 days before filing, notify the defendant of the alleged violations and demand correction; the claim for damages fails without that notice. (Civ. Code, § 1782, subd. (a); *Cattie v. Wal-Mart Stores, Inc.* (S.D.Cal. 2007) 504 F.Supp.2d 939, 949–950.) However, a claim confined to injunctive relief may proceed without the notice. (Civ. Code, § 1782, subd. (d); *Morgan v. AT&T Wireless Services, Inc.* (2009) 177 Cal.App.4th 1235, 1260–1261.)

The FAC seeks damages and injunctive relief. (FAC, Request for Relief.) Nowhere in the fourth cause of action do Plaintiffs state that the cause of action only seeks injunctive relief. Because Plaintiffs' FAC also seeks damages, Plaintiffs need to include an allegation of 30-day notice.

Additionally, Defendant argues that the CLRA applies only to goods and services, not the rental of real property. Plaintiffs do not address this argument in their opposition and therefore they concede the point.

The CLRA prohibits deceptive practices in connection with the sale of goods or services. (Civ. Code, §§ 1750 et seq.) "Any consumer who suffers any damage as a result of the use or employment by any person of a method, act, or practice declared to be unlawful by Section 1770 may bring an action against that person." (Civ. Code, §1780(a).) Under the statute, a consumer is "an individual who seeks or acquires, by purchase or lease, any goods or services for personal, family, or household purposes." (Civ. Code, § 1761(d).) Thus, a plaintiff must allege that she acquired a tangible good or service; that defendant engaged in a prohibited practice under section 1770; that plaintiff was harmed; and that the harm resulted from defendant's conduct. (CACI 4700.)

The Court has found no authority that the CLRA applies to a residential landlord-tenant relationship. Here, the leasehold is an interest in real property, not tangible chattel. Moreover, "services" is defined as "work, labor, and services for other than a commercial or business use, including services furnished in connection with the sale or repair of goods." There is no sale or repair of goods with a leasehold. Accordingly, the Court concludes that Plaintiffs do not have a viable CLRA claim, and therefore, the Court sustains the demurrer without leave to amend.

Invasion of Privacy

Defendant argues that when Plaintiffs applied for their tenancy, they consented and expected that Defendant may obtain private information about them. In opposition, Plaintiffs argue that their consent was "ill gotten". Plaintiffs claim their consent was conditioned on Defendant complying with the ICRAA, and therefore, when Defendant failed to comply with the ICRAA, that negated their consent and resulted in an invasion of their privacy. In other words,

Plaintiffs' invasion of privacy claim is rooted on Defendant's alleged violation of the ICRAA. For reasons discussed above, the Court concludes that Plaintiffs' ICRAA claim is untenable and therefore the Court sustains the demurrer to the invasion of privacy claim without leave to amend.

False Advertising

The False Advertising Law forbids a statement, made in connection with the sale of goods or services, that is untrue or misleading and that the speaker knew or should have known was untrue or misleading. (Bus. & Prof. Code, § 17500.) A private plaintiff must have suffered injury in fact and lost money or property. (Bus. & Prof. Code, § 17535.) To plead reliance, the plaintiff must allege a misrepresentation of material fact. (*Chapman v. Skype Inc.* (2013) 220 Cal.App.4th 217, 229.)

The FAC identifies no actual statement. It alleges only that Defendant "made statements and representations" in connection with the rental application and screening process regarding the opportunity to obtain a copy of investigative consumer reports. (FAC, ¶ 71.) These allegations are too vague and unspecified to allege a misrepresentation of a material fact or establish reliance. Accordingly, the demurrer to the sixth cause of action is sustained with 20 days' leave to amend.

Fraud

Plaintiffs' fraud claim alleges: "Defendants made false representations that Plaintiffs were provided all required disclosures under the ICRAA and given a meaningful opportunity to request and obtain a copy of any investigative consumer report procured in connection with the application and tenant screening process. Defendants reiterated those misrepresentations after this case was filed and adopted similarly false positions in subsequent written communications to Plaintiffs where Defendant GIRC threatened to sue Plaintiffs for malicious prosecution and attempted to fabricate evidence that showed GIRC's rental applications complied with the ICRAA's notice and check-box requirements. Thereafter, Defendant GIRC provided verified discovery responses during this litigation to try to support the misrepresentations about its rental applications."

Defendants argue that part of Plaintiffs' fraud claim relies on statements made in litigation which are protected by the litigation privilege. While that may be true, Defendants cannot demurrer to only a portion of a claim.

Defendants separately argue that Plaintiffs' allegations are not plead with the required particularity for fraud claims. The Court agrees.

Each element in a cause of action for fraud must be factually and specifically alleged. (Perias v. GMAC Mortgage, Inc. (2010) 187 Cal.App.4th 429, 434.) This is to provide the defendant with notice and to give the court enough information to assess whether there is a foundation for the charge of fraud. (Committee on Children's Television, Inc. v. General Foods Corp. (1983) 35 Cal.3d 197, 216.) In addition to the above, when the allegations are made against corporate defendants, plaintiff must also allege with particularity the "who, what, when, what authority" elements for corporations. (Lazar v. Superior Court (1996) 12 Cal.4th 631, 645; Tarmann v. State Farm Mutual Automobile Ins. Co. (1991) 2 Cal.App.4th 153, 157.)

The FAC refers to "false representations that Plaintiffs were provided all required disclosures under the ICRAA and given a meaningful opportunity to request and obtain a copy of any investigative consumer report procured in connection with the application and tenant screening process." There are no allegations as to who made the representations, their authority to speak on behalf of a corporate defendant, to whom the representations were made, when they were made, or by what means they were made. Accordingly, Plaintiffs' allegations lack the required specificity, and the Court sustains the demurrer to the fraud claim with leave to amend.

CONCLUSION

For the foregoing reasons, the Court SUSTAINS Defendant's Demurrer with 20 days' leave to amend as to the false advertising and fraud claims. Otherwise, the Court SUSTAINS the demurrer to the remaining causes of action without leave to amend.

DATED: August 21, 2026 _____

Edward B. Moreton, Jr.

Judge of the Superior Court